have kept up with all the news about the firm, its latest products, quarterly earnings, conference calls, etc.

You have substantial sunk costs, even if the position turns out to be a money-loser. The proper response *should be*: Those costs are already gone, never to be recovered, and you should not stay married to a holding simply because of those already incurred expenses. The same is true for any holding, be it a hedge fund, private equity, or ETF. Of course, this is not how most people behave.

Loss aversion

Perhaps the most important insight is our tendency toward *loss aversion*. As it turns out, people feel the pain of loss about twice as much as they derive pleasure from gains. There are lots of possible reasons for this, but perhaps the simplest is that gains seem temporary—eventually, they are spent or otherwise fade into the background. Losses, on the other hand, are permanent.

Loss aversion is why investors become timid after stock crashes. Look at what happened to so many portfolios (yours included) right after the GFC. Most people had less equity than they should have had. Assets perceived as less risky were overweighted. This reduced the volatility of those investments, but it also reduced their performance.

Hindsight bias

You saw the 2008 collapse coming, right? It was so obvious, you could not miss it. Housing peaked in 2006—you saw that, too. And the dotcom collapse—weren’t you warning your friends about the ridiculous valuations?

Sure you were! A tiny number of people were warning about those things—and they were mostly ignored as cranks. But *hindsight bias* is the cognitive